

the buying and selling of fractions of businesses on the stock market much more than the buying and selling of entire businesses.

Mr. Market, a creation of Benjamin Graham, lives in the stock market and is a very hyperactive and moody character. ⁷ He's buying and selling tiny fractions of several thousand businesses every few seconds. The price at which Mr. Market buys or sells is not based on the intrinsic value of the underlying business. It is determined by his mood. Changes in his mood immediately result in price changes.

Mr. Market's pari-mutuel approach to setting prices could not be more different from the way prices are determined for the sale of entire businesses. With the rapid-fire trading of thousands of securities, every once in a while a few stocks might have a great deal of bad news come out. This sometimes leads to extreme fear and the wholesale unloading of these stocks. But when you sell a stock, there has to be a buyer at the other end. The buyer is looking at the same bad news as you are. The only way such a sale gets consummated is at a deeply distressed price.

Papa Patel, Manilal, and Mittal all made their fortunes by fixating on buying distressed businesses. Most of the time, they did it when the entire industry was severely wounded—the motel industry right after 9/11 or the bankruptcy-ridden steel industry in the 1980s and 1990s. The advantage we have over them is that our playing field is much larger; there are thousands of stocks whose prices wiggle around all day long. All we need to do is to first narrow the universe of candidate businesses down to ones that are understood well and are in a distressed state.

How do we get a list of distressed businesses or industries? There are many sources, but here are six to begin with:

1. If you read the business headlines on a daily basis, you'll find plenty of stories about publicly traded businesses. Many of these news clips reflect negative news about a certain business or industry. For example, Tyco's stock collapsed when the Dennis Kozlowski scandal was front and center. Martha Stewart's prison sentence clobbered that stock. More recently, Mr. Spitzer's adventures with H & R Block have led to significant declines in its stock price. These were all headline stories.